

25SMCV05645 25SMCV05645

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Case Number: 25SMCV05645 Hearing Date: July 7, 2026 Dept: P

Tentative Ruling

Pejman Katiraei, et al. v.

Mercedes-Benz USA, LLC, Case No. 25SMCV05645

Defendant's Motion to Compel

Arbitration

Hearing date: July 7, 2026

Background

This is a lemon law case. On October 30, 2025, Plaintiffs Linda Katiraei and Pejman Katiraei brought three claims against Defendant Mercedes-Benz USA for violations of the Song-Beverly Act related to alleged defects in Plaintiffs' leased car, a 2024 Mercedes-Benz EQS450X. (Complaint, ¶ 8.)

On December 10, 2025, Mercedes-Benz filed a notice of removal to federal court.

On April 6, 2026, Mercedes-Benz filed this motion to compel arbitration.

On June 23, 2026, Plaintiffs filed opposition. On June 29, 2026, Mercedes-Benz filed a reply.

Arguments

Mercedes-Benz moves to compel arbitration under Plaintiff's lease's arbitration provision. Mercedes-Benz argues that it can enforce arbitration as

a named third-party beneficiary. (Motion to Compel Arbitration, p. 5.) Mercedes-Benz argues that the FAA and California law require Plaintiffs to comply with the lease's binding arbitration provision, citing *Sanchez v. Valencia Holding Co.* (2015) 61 Cal.4th 899. (Id. at pp. 6-8.) Mercedes-Benz argues that Plaintiffs' claims fall within the scope of the arbitration clause as a claim arising out of a warranty contained in the lease. (Id. at pp. 9-10.) Mercedes-Benz requests that Plaintiffs' claims be stayed pending arbitration. (Id. at p. 10.)

In opposition, Plaintiffs argue that Mercedes-Benz has not provided a proper foundation for the lease agreement containing the arbitration agreement. (Opposition, p. 2.) Plaintiffs argue that the Song-Beverly Act precludes arbitration because it adopts the federal Magnuson-Moss Warranty-Federal Trade Commission Improvement Act's requirements regarding federal standards for disclosure of warranty terms and conditions. (Opposition, pp. 2-3.) Plaintiffs argue that under that federal law, pre-dispute binding mandatory arbitration of a warranty claim is unlawful. (Id. at p. 3.) Plaintiffs argue that warranties under the Song-Beverly Act do not arise out of the lease and are therefore not subject to the arbitration clause. (Id. at p. 6.) Plaintiffs argue that Mercedes-Benz has failed to prove that the arbitration clause was intended to benefit it. (Id. at p. 7.) Plaintiffs argue that equitable estoppel does not apply because the lease does not incorporate or create the warranties at issue and where the selling dealer is not a party. (Id. at p. 8,9.)

In reply, Mercedes-Benz argues that it is a third-party beneficiary because the objective of the contract was to include Mercedes-Benz in the agreement, which more than incidentally benefits them. (Reply, p. 3.) Mercedes-Benz argues that Plaintiffs' claims fall within the scope of the agreement to arbitrate because the arbitration provision applies to any claim or dispute arising under the lease, including Song-Beverly Act claims. (Id. at p. 4.) Mercedes-Benz argues that the Ford Motor Warranty Cases are inapplicable because Mercedes-Benz is not compelling arbitration via equitable estoppel, but as a named third-party beneficiary. (Id. at p. 5.) Finally, Mercedes-Benz argues that the Magnuson-Moss Act is irrelevant to this case. (Id. at p. 6-7.)

Evidentiary Objections

Plaintiffs makes two objections to the Ameripour Declaration. Both objections are overruled.

Judicial

Notice

Defendant

requests that the Court take judicial notice of Plaintiffs' complaint in this action. The Court GRANTS notice pursuant to Evid. Code §452(d).

Plaintiff

requests notice of 40 Fed. Reg. 60168-60211 (Dec. 31, 1975; 64 Fed.Reg. 19700-19709 (Apr. 22, 1999); H.R.Rep. No. 93-1107 (1974); Subcommittee Staff Report, 120 Cong. Rec. 31,318 (1974); and Final Action Concerning Review of Interpretations of Magnuson-Moss Warranty Act; Rule Governing Disclosure of Written Consumer Product Warranty Terms and Conditions; Rule Governing Pre-Sale Availability of Written Warranty Terms; Rule Governing Informal Dispute Settlement Procedures; and Guides for the Advertising of Warranties and Guarantees, 80 Fed.Reg. 42710-01 (July 20, 2015).

Notice is

GRANTED pursuant to Evid. Code § 452(a) & (c).

Arbitration Standard

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate a controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists" (Code Civ. Proc., § 1281.2) The right to compel arbitration exists unless the court finds that the right has been waived by a party's conduct, other grounds exist for revocation of the agreement, or where a pending court action arising out of the same transaction creates the possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc., § 1281.2(a)-(c).) "The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.)

California law generally favors enforcement of valid arbitration agreements. The party moving to compel arbitration bears the burden of making a prima facie case that an arbitration agreement exists. The burden then shifts

to the party opposing the motion to demonstrate that the agreement is void.
Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413.
(Rosenthal v. GWFSC).

Analysis

Existence of
Arbitration Agreement

The moving party must demonstrate by a preponderance of evidence
that an arbitration agreement exists. (Rosenthal v. GWFSC, supra, 14
Cal.4th at 413.)

Here, Mercedes-Benz moves to enforce an arbitration
agreement in Plaintiff's lease. Page six of the lease agreement bears Plaintiffs'
signatures, and pages four and five bear their initials, right below sections
entitled "Important Arbitration Disclosures" and "Important Arbitration
Disclosures (Continued)," which immediately precede the third-party beneficiary
provision at issue. (Ameripour Declaration, Exhibit B.)

The lease's arbitration provision reads:

"Any claim or dispute, whether in
contract, tort or otherwise . . . , between you and us or any of our employees,
agents, successors, assigns, or the vehicle distributor, including
Mercedes-Benz USA LLC (each a 'Third Party Beneficiary'), which arises out
of or relates to a credit application, this lease, or any resulting transaction
or relationship arising out of this lease (including any such relationship with
third parties who do not sign this contract) shall, at the election of either
of you, us, or a Third Party Beneficiary, be resolved by a neutral, binding
arbitration and not by a court action." (Ameripour Declaration, Exhibit B, p. 4)

Plaintiffs argue that the California Supreme Court's holding
in the Ford Motor Warranty Cases precludes Mercedes-Benz's enforcement
of this agreement because Plaintiffs' claims do not arise from the lease
agreement. (Opposition, p. 6.) Mercedes-Benz argues that equitable estoppel is
irrelevant because Mercedes-Benz is a named third-party beneficiary to the
arbitration agreement. Mercedes-Benz also argues that Plaintiffs' Song-Beverly
Act claims do arise under the lease because claims under the Song-Beverly Act
concern express or implied warranties in a lease or sale agreement. (Motion to

Compel, p. 10.)

In the Ford Motor Warranty Cases, the California Supreme Court found that a sales contract arbitration provision that “says nothing of binding the purchaser to arbitrate with the universe of unnamed parties,” does not compel arbitration between a signatory and a non-signatory. (Ford Motor Warranty Cases, 17 Cal.5th 1122, 1129.) The case concerned a sales agreement between a Ford dealer and an individual that never mentioned Ford and did not address third-party beneficiary liability. (Ibid.) The Supreme Court’s conclusion that equitable estoppel did not apply in The Ford Motor Warranty Cases flowed from its finding that Ford was not a party bound by the agreement at issue. (Id. at 1339.)

Here, Plaintiffs’ claims are based on express and implied warranties in or arising from the lease agreement. (Complaint, ¶¶ 17, 33, 45, 47.) Additionally, unlike the Ford Motor Warranty Cases, equitable estoppel is irrelevant because Mercedes-Benz is expressly bound to arbitration as a named third-party beneficiary. (See Ameripour Declaration, Exhibit B, p. 4)

Plaintiffs next contend that Mercedes-Benz is not a true third-party beneficiary because the lease does not benefit it. (Opposition, p. 7.) This argument is without merit. Mercedes-Benz is the vehicle manufacturer and stood to profit from Plaintiffs’ lease of the subject vehicle. Mercedes-Benz is a third-party beneficiary of the lease agreement.

Finally, Plaintiffs contend that the Magnuson-Moss Act prevents arbitration. (Opposition, pp. 2-3.) However, Plaintiffs bring no claims under the Magnuson-Moss Act in this action, so it is completely inapplicable.

The Court finds that the arbitration agreement in Plaintiffs’ lease applies to Plaintiffs’ causes of action.

Plaintiffs do not raise any equitable defenses to arbitration.

Conclusion

Defendant’s Motion to Compel Arbitration is GRANTED.

This matter is STAYED pending arbitration.